75, inclusive of Rs 10 of excise duties paid thereon, excise duties would be levied on goods of Rs 100 without giving any credit for excise duties paid earlier. If goods of Rs 100 suffer excise duties of, say, Rs 20, the wholesaler would pay Rs 120, which would have a total element of excise duties of Rs 30. If the wholesaler were to sell these goods at Rs 150 to the retailer, which attracts sales tax of Rs 15, the cumulative excise and sales tax element in goods of Rs 165 will be Rs 45. The cascading of excise duties would go on with further imposition of sales tax when the retailer sells it to the final consumer. No wonder there was a rampant tendency to avoid billing in the country.

In the 1970s, the L.K. Jha Committee on Indirect Taxation first recommended a value-added taxation system in the country. In the value-added system, the manufacturer/seller at every subsequent stage pays duty on the entire value of goods sold but gets credit for the input excise duties paid. In our example above, the first manufacturer would get credit of Rs 10 when he sold his goods of Rs 100. As he paid excise duties of Rs 20 and got credit of Rs 10, his net incidence of excise would reduce to Rs 10 and the goods would be sold at Rs 110, instead of Rs 120.

The 1986 Budget introduced the value-added concept in the system of indirect taxation in India, albeit in a modest form. The 1986–87 Budget speech dealt with this subject extensively. To quote:

‘In excise taxation a vexatious question which has been often encountered is the taxation of inputs and the cascading effect of this on the value of the final product. The Long Term Fiscal Policy had stated that the best solution would be to extend the present system of proforma credit to all excisable commodities with the exception of a few sectors with special problems like petroleum, tobacco and textiles. The scheme, which has been referred as Modified Value Added Tax (MODVAT) scheme—I shall stress MODVAT, not MADVAT—allows the manufacturer to obtain instant and